

Attachment 9
36H79725R0003

All offerors with estimated annual sales under the program that exceed \$10 million will be subject to a commercial pricing audit conducted by the VA OIG. The Contracting Officer may require Audits for contractors with sales below \$10 million.

The main objective of reviewing cost and/or pricing data is to assist the Contracting Officer (CO) in achieving a fair and reasonable price by verifying sales, marketing practices, commercial pricing and discounts, cost (where applicable), and other data provided by the offeror or contractor (reference FAR 15.404-2). A request for a pre or post-award OIG Audit is a tool that shall be used by the CO to confirm information furnished by the offeror or contractor is accurate, complete, and current. A request for a post-award OIG Audit of pre-award disclosures is used to confirm the validity of the data provided and compliance with the contract's terms and conditions.

The objectives of the pre-award review are to determine: (i) if the information provided on the vendor's Discount Pricing Information (DPI) is accurate, complete, and current; (ii) if proposed prices and discounts are equal to or better than those offered to the vendor's most favored customer(s) by examining the vendor's accounting records; (iii) those customers, if any, in receipt of discounts better than those offered to the Government, the discount(s) given, and the yearly volume, or other consideration on which these better discounts are based; and (iv) the accuracy of information provided by the vendor relating to any and all trade-in, rebate, or incentive-type programs.

Preliminary review materials that may be requested:

1. Please provide electronic sales transactional data (and/or order data) for all customers, government and commercial, for the previous year. The sales data should give line item visibility and complete transaction detail for each sale. At a minimum, the sales data should include the following information:

- Customer Name
- Customer Category (Private Hospital, Buying Group, Federal Government, etc.) If a customer is a member of a buying group, please provide the group name.
- Modality and Product Line/Model.
- Product Number
- Part Numbers for all the Parts in the System
- List Price for each Part within the System
- Contract Price for each Part within the System
- Sales Price for each Part within the System
- Date of Sale

If the sales data does not provide this type of detail, then please explain what type of information is generated by other systems used by the contractor (such as your ordering or quoting system) that would. The data you provide must be of sufficient detail for us to perform a comparative price analysis of your offer. Therefore, we may need to obtain data from more than just your sales records.

2. Reconciliation of the sales data to your general ledger or financial statements. This is to ensure the integrity of the sales data.
3. An electronic version of offered price list in Excel. This should include a column for each of the following: Business Unit, Product Line, Product Number/Part Number, List Price, and offered discount for each of the offered item.
4. Your current written pricing and/or quoting policies and procedures, including guidelines for setting prices to different classes of customers, when sales representatives can set prices, approvals needed for lower prices, etc. If you do not have written pricing policies and procedures, please provide a narrative description with respect to this request.
5. A written description of all special discounts available to customers (such as Demonstration Site Discounts, Luminary Discounts, etc.) and the circumstances under which the discounts are earned.
6. A ranked listing of your 10 largest customers and their dollar sales/order volume for the 12-month period, for each modality included in your proposal.
7. A written description of all rebate programs available to any customer, the total amount paid for the 12-month period, and a listing of the 10 customers (excluding wholesalers) who received the highest rebate payments in the same period, and the amounts they were paid.
8. Your most current written trade-in policies and procedures.
9. Organizational charts showing the persons responsible for preparing the DPI, and negotiating and administering the contract.
10. Complete copies of contracts (unredacted) and current price lists for Group Purchasing Organizations, including HPG, Amerinet, MedAssets, Novation, and Premier.